of MoU is to judge the PSUs and level their performance.

(d) Disinvestment in PSUs: The Govt. has started the process of disinvestment in those PSUs which had been running into loss. It means that Govt. has been selling out these industries to private sector. So disinvestment is a system of privatizing government enterprises.

20.06 Advantages and Disadvantages of Privatization

Advantages

(a) Increase in efficiency: Privatization is associated with improved efficiency due to the profit incentive. Private companies will ensure they improve their operational efficiency in order to reduce their costs and improve in profits.

(b) Professional management: Government owned enterprises make poor economic management compared to private owned enterprises. This is because of the fear of negative publicity. Private ownership makes bold management decisions due to their strong foundation at international level.

(c) Increase in competition: Privatisation of state-owned monopolies occurs alongside deregulation i.e. policies to allow more firms to enter the industry and increase the competitiveness of the market. It is this increase in competition that can be the greatest spur to improvements in efficiency.

(d) Reduction in economic burden of Government: Since the ownership, control and management of many PSUs are transferred to private, the burden and responsibility of government has comparatively reduced.

Disadvantages

(a) Lack of welfare: Majority of private companies whose main motive is profit-making, do not indulge in public interest or welfare services like free education to poor, free medical treatment, etc.

(b) Political pressure: When private companies fail to deliver, the public has no powers to intervene and government does not always have time or expertise to force them to keep their promises.

(c) Ignores the weaker sections: Privatisation often goes hand in hand with encouraging richer people to pay more and opt for best quality services. This leads to division, making it harder to provide excellent public services for weaker sections.

20.07 Impact of Privatization

(a) Privatization has a positive impact on the financial growth by decreasing the deficits and debts.

(b) Increase in the efficiency of government undertakings.

(c) Provide better goods and services to the consumers.

(d) Making way for Foreign Direct Investment (FDI)

20.08 Meaning and Forms of Globalization

Globalisation means the interaction and integration of the domestic economy with the rest of the world with regard to foreign investment, trade, production and financial matters. It is the process by which businesses or other organizations develop international influence or start operating on an international scale. Globalization stands for the consolidation of the various economies of the world.

12th Commerce Unit 7.indd 167 09-12-2021 1.31.47 PM